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Economic Anthropology

Meaning, Scope & Relevance

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Definition & Introduction

- **The cross-cultural study of the Production, distribution, and consumption of goods and services**
- The study of economic institutions and behavior using ethnographic methods - **Plattner, 1989**
- The ethnographic approach entails an in-depth, holistic, and longitudinal study of one society, using multiple methods, including participant observation.
- This empirical approach to the study of the economy sets economic anthropology apart from economics.

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History of Economic Anthropology

- For most part of its history, EA defined itself in relation to the discipline of economics which uses concepts developed in capitalist and industrial societies to explain traditional economies
- EA argues that this approach of Economics is inadequate to study the economic behavior of "primitive economies"
- This was the key issue in the polemic debate between **substantivists and formalists** that dominated economic anthropology from the late 1950s to the early 1970s.

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History of Economic Anthropology

- Bronislaw Malinowski was the first anthropologist to engage with economics in his ethnography ***Argonauts of the Western Pacific* (1922)**
- He argued that Trobrianders did not fit the economists' models in their "economic" behavior
- He described how these people engage in economic activities like *Kula* where they **trade shell valuables to achieve social distinction and NOT material satisfaction**

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History of Economic Anthropology

- Malinowski has also stressed the magical practices that were important among Trobrianders to ensure success of seafaring trading expeditions
- Thus, the boundaries between the analysis of economic and religious domains have blurred
- This raised the questions of what constitutes “economy” in primitive societies

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History of Economic Anthropology

- The emergence of economic anthropology as a separate field was signaled by the publication of **Herskovitz** "Economic Anthropology" (1952)
- **"Great Transformations" of Karl Polyani in 1957** has divided economies based on exchange systems into Reciprocity, Redistribution and Markets.
- **Marshall Sahlins** (1972) later developed this typology of exchange systems and further distinguished between generalized, balanced, and negative reciprocity.

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History of Economic Anthropology

- In the 1970s Marxist anthropologists focused on systems of production and gave up exchange systems
- **Eric Wolf** (1982) argued that the European capitalist expansion had transformed societies throughout the world
- Anthropologists could no longer study traditional economies in isolation, but had to consider the capitalist world systems in their analysis.

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History of Economic Anthropology

- In the last two decades, the boundaries between economics and economic anthropology have become fuzzier as anthropologists are increasingly studying western societies and the emergence of heterodox economics.
- Anthropology witnessed proliferation of monographs that combine social, cultural, institutional and economic analysis in the study of the interaction of the local and the global

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History of Economic Anthropology

- The integration of different analyses, focus on interaction between culture and economics, and transnational ethnography have made economic anthropology one of the most dynamic fields within anthropology
- **George C. Marshall -** *Economics is the study of man in ordinary business of life...*

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EA - Scope & Relevance

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Scope

1. To describe the varieties of economic arrangements developed by human kind in different times and places
2. To understand the social and cultural contexts in which the systems of production, distribution and exchange operate
3. A holistic study of economics in a society
4. An analysis of economic life as a subsystem of the societies
5. A study of economic aspects of social relationships
6. Studies both the primitive as well as the modern societies

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Relevance

1. In the primitive tribal societies, economies are closely cognate to their cultures - we cannot differentiate between tribal economics and cultural practices.
2. To understand the interaction between culture, environment and economics, an historical, comparative and holistic methodology is required.

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Relevance

3. In tribal societies, kinship, politics, religion, descent groups etc., influence economic decision making and its outcomes - A socio-economic approach is needed.

4. Transnational capitalism, globalization, indigenous people, neo-socialism make it very relevant today, than ever in the past. (Thomas Friedman - Flat World; Recession and USA - Obama's Socialism)

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Small Scale Economies - Understanding them...

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Four-Fold Paradigm

- Manning Nash, 1977 provided a four-fold paradigm to understand primitive economics
  - Technology & DOL
  - Structure of Productive Unit
  - Control of Wealth & Capital
  - Systems & Media of Exchange

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Technology

- Technology – **Tools and procedures by which material goods can be produced with little effort and greater quantity**
- The type of technology plays a very important role in the mode of production
- Industrial societies have greater technology than primitive ones
- Tribal societies have few tools to make tools

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DOL - Age & Gender

- Division of task based on societal rule or norm
- Among H/G, Horticulturalists and Pastoralists - DOL is assigned based on...
  - **Gender**: Women do some tasks, men, others
  - **Age**: Youth do more strenuous tasks than old and old bring experience to tasks
  - **Part Time Speciality**: Weaving, Shamanism etc., but all all handle tasks in primary sector - foraging

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DOL - Craft Specialization

- Comes with intensive cultivation
- More people devote full time to specialized crafts
- Knowledge extends to all aspects of a given craft - sourcing raw material to marketing finished product



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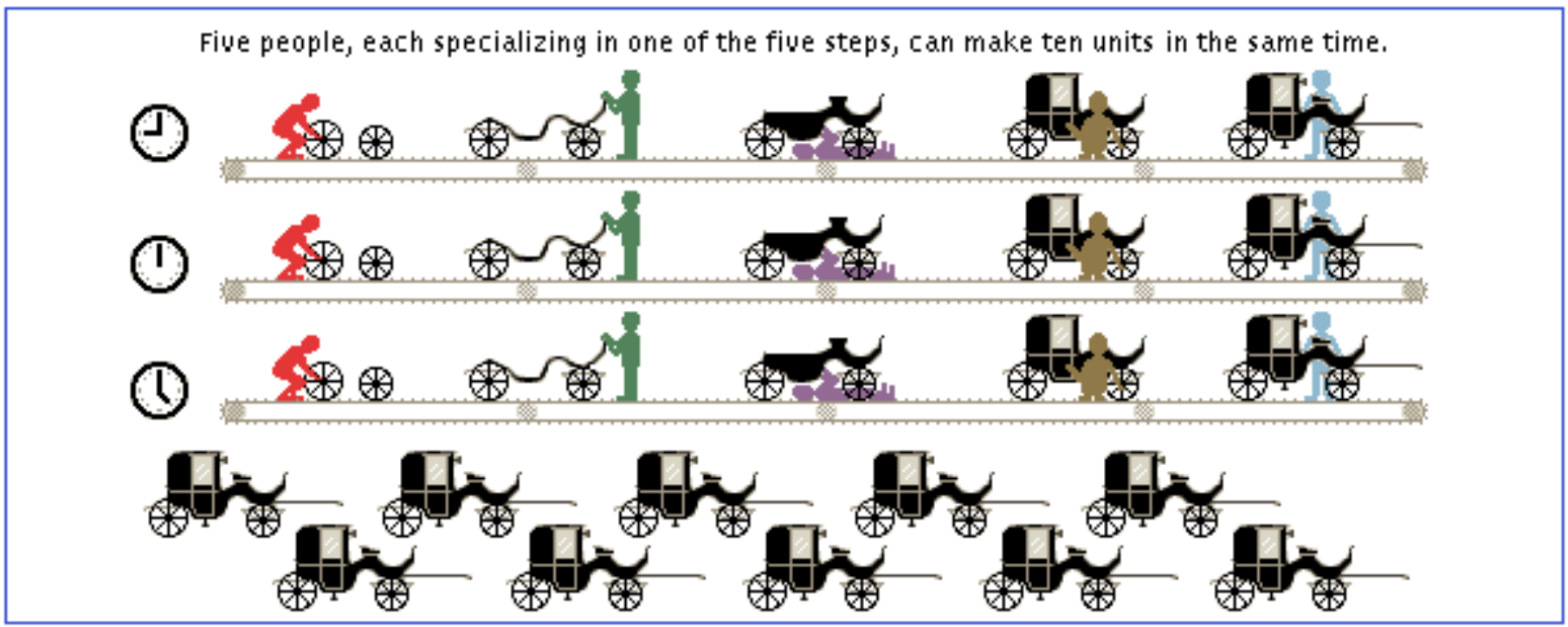
DOL - Detail Labor

- Detail labor involves breaking each task down to its subtasks in production
- Assigning each subtask to each individual and
- Ordering each individual how to do each subtask

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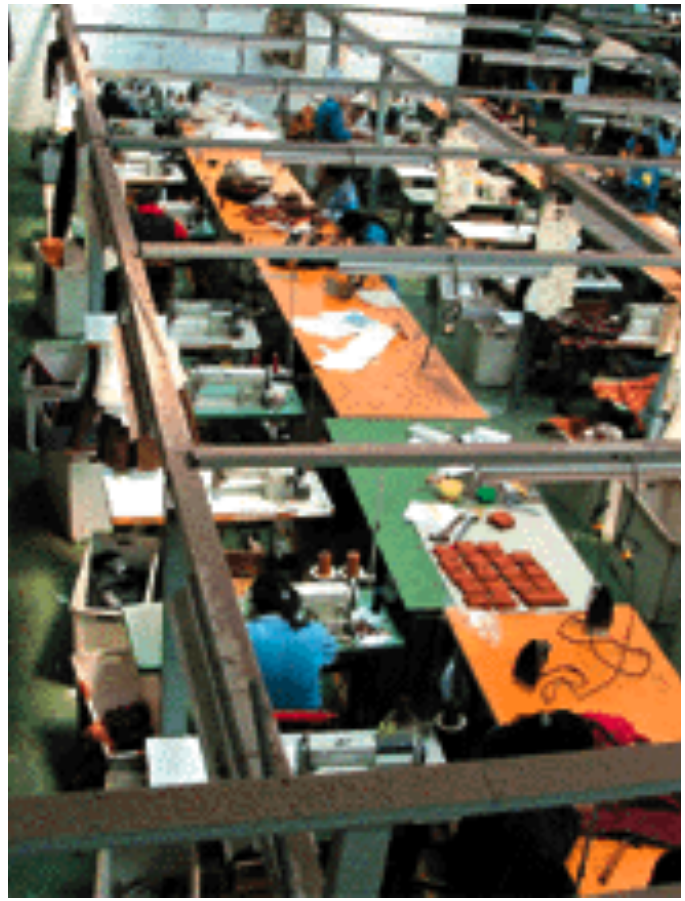
Industrial DOL

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Globalized DOL

- Has enabled globalization of production
- Labor intensive tasks sent to Third World
- Such as this leather-working operation in Ecuador
- Result: downsizing and plant closures - as low wages in China or Bangladesh draw factories there



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Structure of Productive Unit

- There are no organizations whose only task is production, like factories in a modern economic system
- It is often the FAMILY which is the major productive unit
- Since there is no specialization, each household produces its own food, shelter and clothing



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Wealth, Capital & Consumption

- Consumption involves access to goods and services
- Also **property** where such rules exist
  - Is there such thing as ownership?
  - Who controls ownership?
- Is there a communal ownership?
- Or there is a sharing arrangement - meat sharing among the !Kung or Inuit

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Property - Joint or Individual

- Joint Property - Held by members of corporate lineage or clan - Ex. Cattle ownership in East Africa
- Role of descent groups in ownership / estate duties
  - Are they socio-centric (like lineage / clan) or ego-centric (like kindred)
- **Leveling Mechanisms** - Fiesta systems where accumulated wealth is forced to be spent on social traditions - **Potlatch,** Meso-America

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Property - Command Economies

- State in command economies
- Communist countries owned most productive assets
- Only remaining countries: Cuba, N. Korea
- **Inca:**
  - Administrative Economy
    - Land mostly belonged to empire
    - Labor tax was motor of the Inca economy

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Systems & Media of Exchange

- Once produced, goods & services have to be distributed
- People are **seldom obligated to calculate the costs** of doing one thing rather than the other
- The use of time/resources occur **as a part of social structure** and not in terms of calculating the productivity
- Any exchange of material good is one **aspect of ongoing social relationship**
- **Social relationships** limit the nature of material transaction

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Three Types of Exchanges

- **Karl Polyani**
  - **Reciprocity**
    - Direct exchange of goods & services
  - **Redistribution**
    - Flow of goods and services to central authority, then returned in different form
  - **Market Exchange**
    - Buying & selling through price mechanism

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Reciprocity

- Direct exchange of goods and services between two parties
- If A gives something to B, B in turn gives something to A
- Reciprocity is usually conceived as a process of balancing values – a one for one exchange
- However, **Marshall Sahlins** has pointed out that **three types of reciprocity exist** and these can be arranged in a continuum according to the degree of balance involved
- **Generalized, Balanced and Negative Reciprocity**

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Generalized Reciprocity

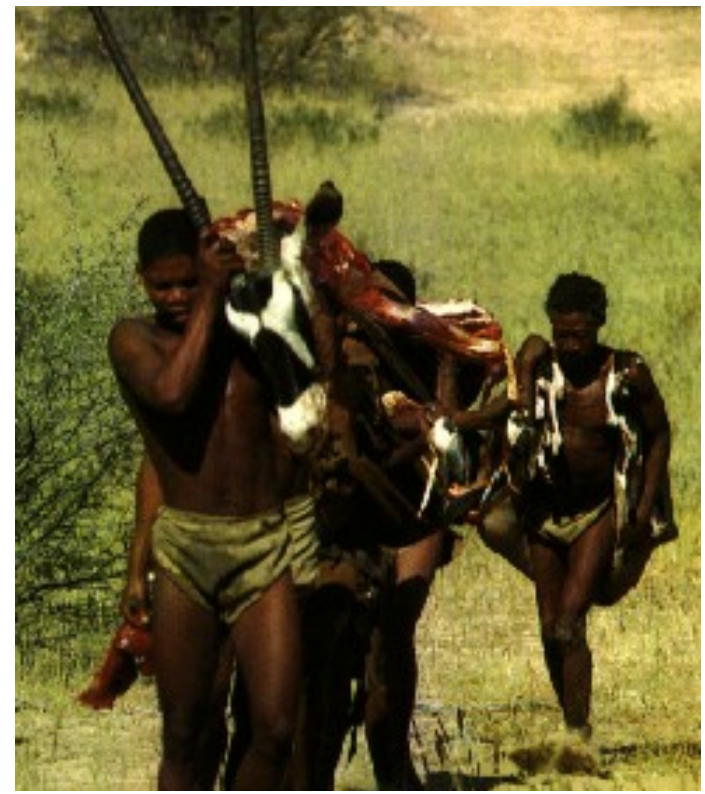
- An exchange that happens without any explicit statement that anything is expected in return
- Its any transaction that at least appears to be altruistic, such as help, sharing and hospitality
- The obligation to reciprocate, if at all exists, is vague
- Material aspects of transactions are less significant than moral / social aspects
- It is based on understanding that the receiver should, at some undefined point of time in the future, reciprocate if possible

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Generalized Reciprocity

- The value/quantity of return to donor is undefined
- Despite the vague obligation to reciprocate, failure to do so does not usually stop the giver from giving again
- Ex. Meat Sharing among !Kung, Birthday Presents
- Usually occurs among close kin



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Balanced Reciprocity

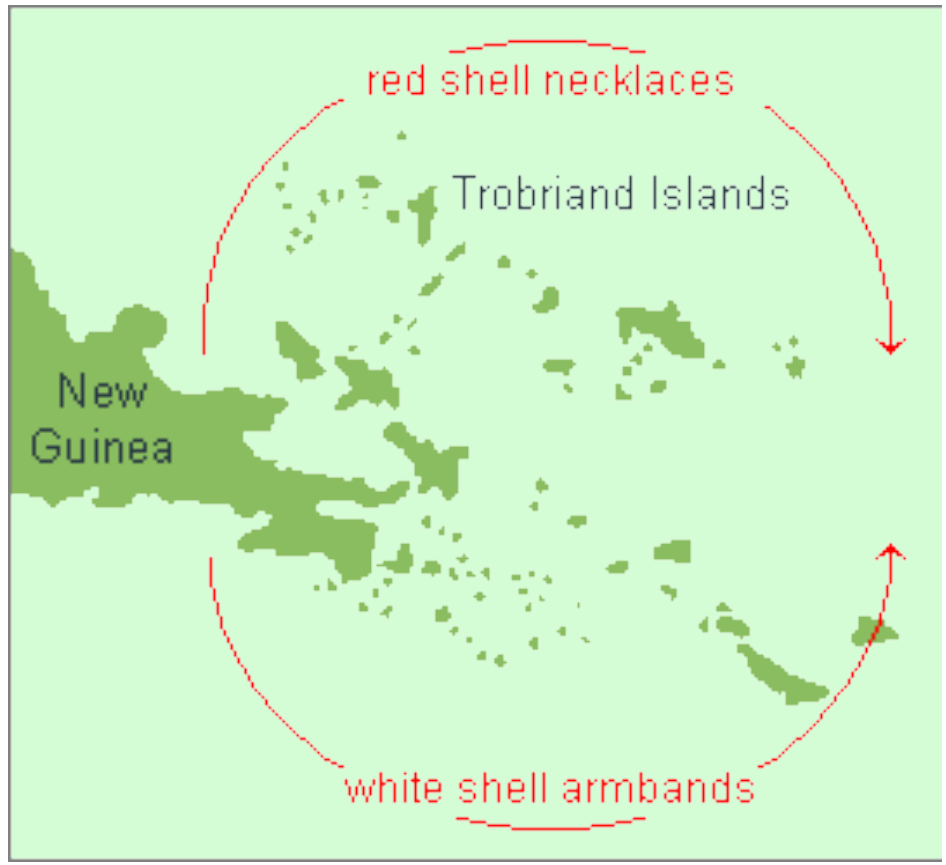
- It is a direct exchange where one thing is exchange for another of equal value without delay
- The term applies to transactions in which a return of equal value is made within definite time – buying, selling, trade, payment etc.
- The social relationships underlying balanced transactions is less personal and more economic than that underlying generalized reciprocity
- The material aspects of transactions are as important as social aspects and the values of goods and services are calculated fairly precisely

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Balanced Reciprocity

- Example: Kula ring, Trobriand Islands
- One trader gives partner a white armband (Soluva)
- Expects a red necklace of equal value in return (Mwali)
- Promissory gifts are made until return occurs
- Usually occurs among distant kin



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Balanced Reciprocity

- Functions
  - Giving up self interest / hostility for sake of mutual benefit – hence a vehicle for many types of social contracts
  - Basic purpose is to generate a friendly feeling, a degree of sociability, regardless of values involved – Marriage transactions and formal friendships

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Negative Reciprocity

- It involves trying to get something for nothing
- Most impersonal form of exchange
- Material aspects of transactions are all important
- Two sides involved in the transactions are entirely opposed
- The flow of goods is in one direction only
- It is an act of taking rather than giving
- Ex: Deception, Theft, Cheating, Hard Bargaining etc.

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Redistribution - A Socialist Model

- Process whereby goods & services flow to a central authority (King, Chief, Government)
- Where they are sorted, counted and reallocated
- Classic Example: Potlatch
- Historical Example: Administered Trade
- A central feature of command economies
- May be a matter of Custom, Law or Special decision

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Redistribution

- Reasons?
  - It may stem from the fact that the different regions from a large country produce things that other regions may not produce
  - The time at which food is needed and harvest time are several months apart

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Reciprocity Vs Redistribution

1. The social organizations of these two types of exchanges are different.
    - Redistribution is a collective action between several parties while reciprocity is a action and reaction b/w two parties
2. Reciprocity requires only two parties while redistribution requires a social center – Hierarchy / Surplus

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Market Exchange

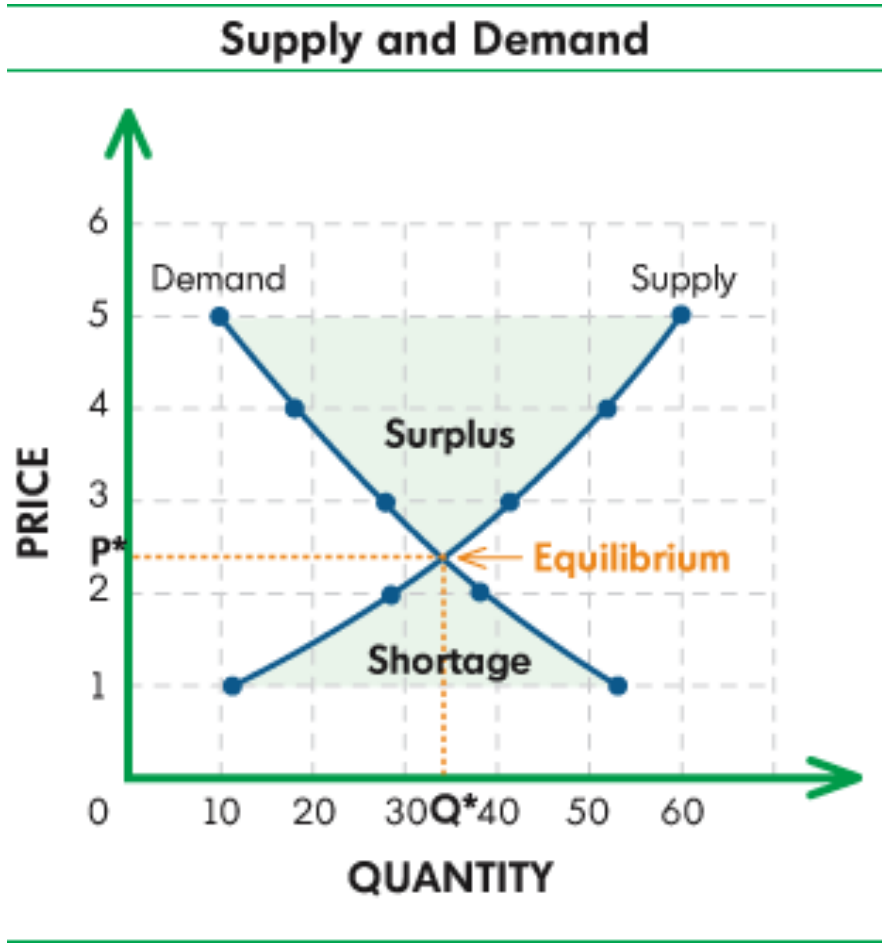
- Exchange of goods among many buyers and sellers
- Directly, by barter, or indirectly, by money and pricing
- Example: Yoruba / Haiti etc.
- Markets include
  - Crowds of buyers and sellers
  - Instant information on prices
  - Freedom of market entry and exit

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Market Exchange

- Actors are:
- **Supplier,** whose willingness to sell (supply) is directly proportional to price increases
- **Purchaser**, whose willingness to buy (demand) is directly proportional to price decreases
- **Price:** Interaction leads to price equilibrium / price setting



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Market Exchange

- Exchange determines the parties to be involved
- Buyers and sellers try to get most of their limited resources
- Antagonism involved in the transaction - maximization of individual profit
- Hence, it can happen between strangers



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Markets in Simple Societies

- They might have market places but not market principles
- They serve not only economic, but social, political and recreational functions
- The urban market features like high DOL, spirit of competition and exploitative relations are missing

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Markets

Money

1. Means of exchange
2. Standard of assessment / value

- General purpose and Special purpose money
- If money is not a mode of payment – Barter
- If exchange takes place w/o involvement of parties – Silent Barter
- Perfect and Imperfect Markets / Controlled and Free Market Economies

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Nature of Traditional Economies

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Simple Economies

- **Low Division of Labor**
  - Undifferentiated societies
  - Limited primarily to birth, age and sex
  - Hence economic organization – cannot be distinguished from social organization
- **Low Productivity**
  - Productivity skills are simple
  - Hence, cannot sustain large populations
  - Most members directly participate in food getting activities

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Simple Economies

- **Little / No Surplus**
  - Because of low productivity
  - Social inequalities are not very significant
  - Socioeconomic interactions happen within egalitarian framework
- **Complex Exchange and Distribution Networks**
  - Predominantly reciprocity and redistribution
  - Though markets exist, they are peripheral to economic organization
  - Paul Bohanan – Polycentric economies

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Simple Economies

- **Conspicuous Consumption**
  - Especially in regions having abundant food
  - Constitutes a prestige economy – Potlatch
- **Low Achievement Motivation**
  - No intense preoccupation with accumulation of surplus
  - Private ownership is non existent due to kin groups being corporate enterprises

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Simple Economies

- **No separation b/w domestic and community economy**
- **Dominated by religion**
  - No modern science and technology
  - Magico-religious functions overlap with economic functions
- **Innovation is rare and Change is slow**
- This is because customary norms regulate production and exchange

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Substantivism Vs Formalism

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Formalism Vs Substantivism

- The modern economic theory and its neoclassical model is developed based on the study of industrial societies where the principal motivation is profit.
- Given this context, can we apply this theory to understand primitive economies where profit is not a motive?
  - Substantivists - NO
  - Formalists - YES - economic theory is all about the ways in which people get maximum personal satisfaction in saving and distributing scarce resources

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Formalist Debate

- Economics is all about fulfilling the unlimited wants of humankind with limited resources or scarcity.
- Economies need to allocate their resources efficiently.
- Underlying the laws of supply and demand is the concept of utility.
- Utility represents the satisfaction a person receives from consuming a good or a service.

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Formalism - Assumptions

1. Utility Maximization:

- Individuals pursue utility maximization by choosing between alternative means.
- They will always choose means that maximize their utility often with specific constraints in information or transaction cost

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Formalism - Assumptions

2. Rationality

- Choosing between alternative means **is always based on rationality** using all available information to measure cost and utility of each means
- Whether by conscious forethought, instincts, or traditions, individuals are able to undertake the relevant calculations

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Formalism - Assumptions

3. Scarcity

- All individuals live under conditions of scarcity of means
- while at the same time having unlimited wants.

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Formalism - Assumptions

4. Diminishing Marginal Utility

- Marginal utility is the additional satisfaction gained from each extra unit of consumption
- Although total utility increases as more the good is consumed, marginal utility usually decreases with each additional increase in consumption
- There is a certain threshold of satisfaction and hence the consumer will no longer receive the same pleasure from consumption once that threshold is crossed

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Formalism

- Formalists like Raymond Firth & K. Schneider assert that this neoclassical model of economics can be applied to any society if appropriate modifications are made since the principles outlined above are universal
- All human cultures are "choice making individuals whose every action involves selections among alternative ends"
- Ends can be culturally defined and are not always financial gains - they can be leisure or social prestige too.
- Preferences may vary but principles of economizing and maximizing still apply

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Substantivism

- Karl Polyani - Great Transformations
- There are **two meanings for the word "Economics"**
- **The Formal Meaning** - Logic of rational action or decision making - a rational choice between alternate use of limited resources
- **The Substantive Meaning** - does not presuppose rational decision making or conditions of scarcity
- It is simply refers to the study of how people make a living from a social or natural environment

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Substantivism - Assumptions

- Without a system of price-setting mechanisms, formal economics cannot be applied to centrally planned economies and preindustrial societies
- Individual choice in such places is not so much based on the maximization of economic profit but rather on social relationships, cultural values, moral concerns, politics or religion.
- Production is not for exchange (where profit is the motive) but it is for "use" - Subsistence - Survival

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Substantivism - Assumptions

- Capitalist economies are based on market exchange but non-capitalist economies on redistribution and reciprocity
- Market exchange is dominant integrative force in the capitalist society, though reciprocity is seen only in families and redistribution may be undertaken by state or charitable institutions

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Substantivism - Assumptions

- **Embededness**
  - Rather than being a separate and distinct sphere, economy is embedded in both economic and non-economic institutions
  - Exchange is influenced by society and does not happen in "social vacuum"
  - Socio-cultural values, norms and values play a significant role in people's decision making

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Substantivism - Assumptions

- Consequently, any analysis of economics as a distinct entity isolated from its socio-cultural and political context is flawed from the outset.
- Polanyi's central argument is that institutions are the primary organizers of economic processes.
- The substantive economy is an "instituted process of interaction between man and his environment, which results in a continuous supply of means satisfying material wants"

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Conclusion

- Substantivism is a cultural relativistic approach to study economics of any society
- Later developed into culturalism - more "local study" as compared to "universalistic" approach

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Globalization & Indigenous Economies

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Globalization - Dimensions

- In very simple terms globalization can be depicted as increasing global interconnectedness.
- It is primarily an interchange of economic, social, cultural, political, technological attributes that takes place between societies when different societies come into contact with each other.
- Globalization has been taking place from times immemorial but the contemporary globalization differs from the past primarily in terms of the quantum of interchange and inter connectedness.

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Globalization - Dimensions

- It touches all spheres of human life; economic, social, cultural, political and environmental.
- The most common definition of present day globalization refers to the growing integration of various countries to the world economy.
- It results mostly from a freer movement of capital, products and information, which affects a society in its entirety.

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Globalization - Dimensions

- Keniichi Ohmae (1990) - "Borderless World"
- Malcolm Waters (1995) - "De-territorialization" - where constraints of geography on society and culture recede
- Globalization essentially means an intensification of multinational, transnational and international linkages in all spheres of human activity

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Who are Indigenous People?

- Indigenous people are ethnic groups who are native to a land or region, especially before the arrival of any dominant culture
- They share a cultural identity shaped by their geographical region
- Variously called Natives, Aborigine or "Adivasi" in India
- Their population is around 350 Million and constitute just about 6% of the world population
- 5000 of world's 6000 cultures are native in over 72 countries 3/4th of world languages are spoken by them

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Characteristics

- Their lives are inextricably linked with their relationship to the environment.
- Their traditions demonstrate a strong responsibility for preserving their land for future generations - have a spiritual relationship with land
- Its because of this that there is a strong correlation between areas of high biological diversity and the presence of indigenous peoples in those areas.

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Characteristics

- Because there are abundant resources available, the mainstream society may want to access them for economy
- These economic pressures will seriously threaten not just the environment, but also the indigenous people whose lives depend on land

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Globalization & Natives

- These concrete examples of sustainable societies are today facing extinction in a globalized world!
- The impact of Globalization is strongest on them because they have no voice and are naturally swept aside by invisible market forces
- Globalization is not just marginalization, but a multi-pronged attack on the very foundation of their existence and livelihoods

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The Impact

1. Indigenous people are on the "front lines" of globalization as they occupy the last pristine places on earth where resources - forests, minerals, lumber, water and genetic diversity - are abundant, which are ferociously sought by global corporations.
2. Advanced technologies and export-oriented development is leading to extermination of countless native communities which stand in their way

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The Impact

3. New global economic treaties resulting in loss of traditional sovereignty over hunting and gathering rights
4. New investment agreements and infrastructure projects resulting in displacement of indigenous people without adequate rehabilitation.
5. New WTO agreements resulting in privatization of genomes on which natives and their livelihoods survive

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The Impact

6. National governments making decisions on export development strategies and international trade rules without consulting native communities.
7. Many native communities are wiped out, taking with them vast indigenous knowledge, rich culture and traditions that had hope of preserving the natural world.

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The Impact

8. Significant amount of ecological knowledge is accumulated by them - this knowledge is held in their language - along with the language we are loosing ethnomedical secrets and traditional knowledge on plants.

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